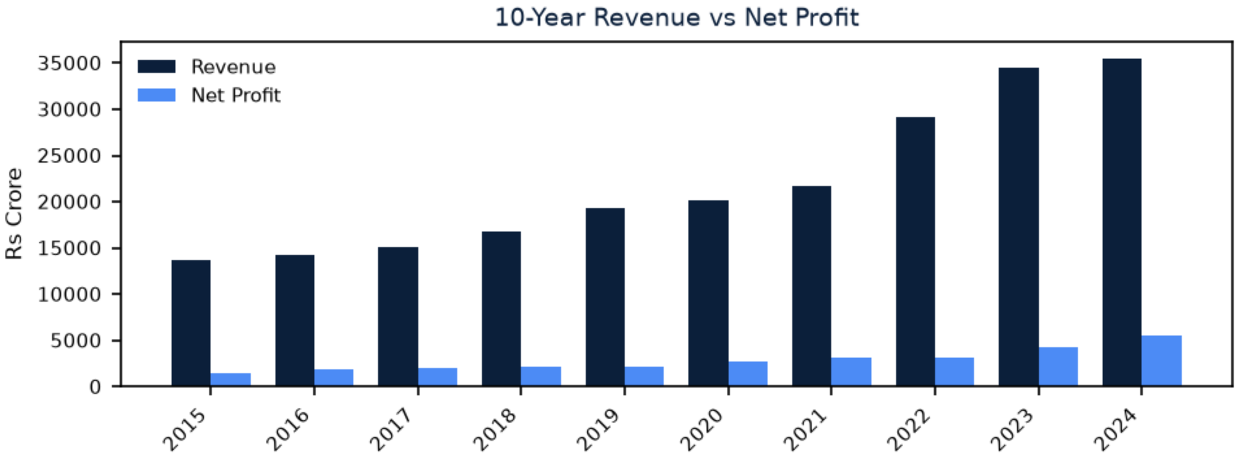
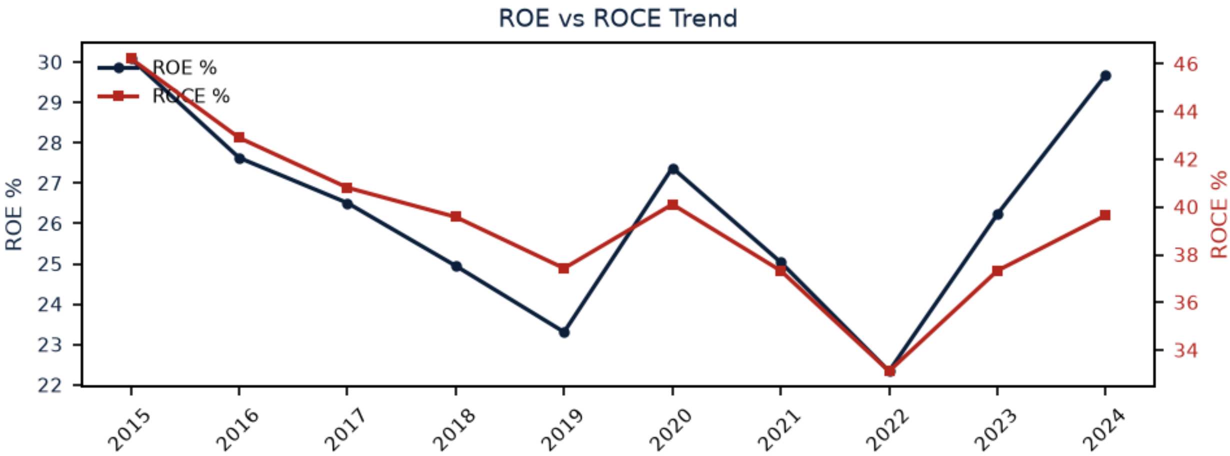
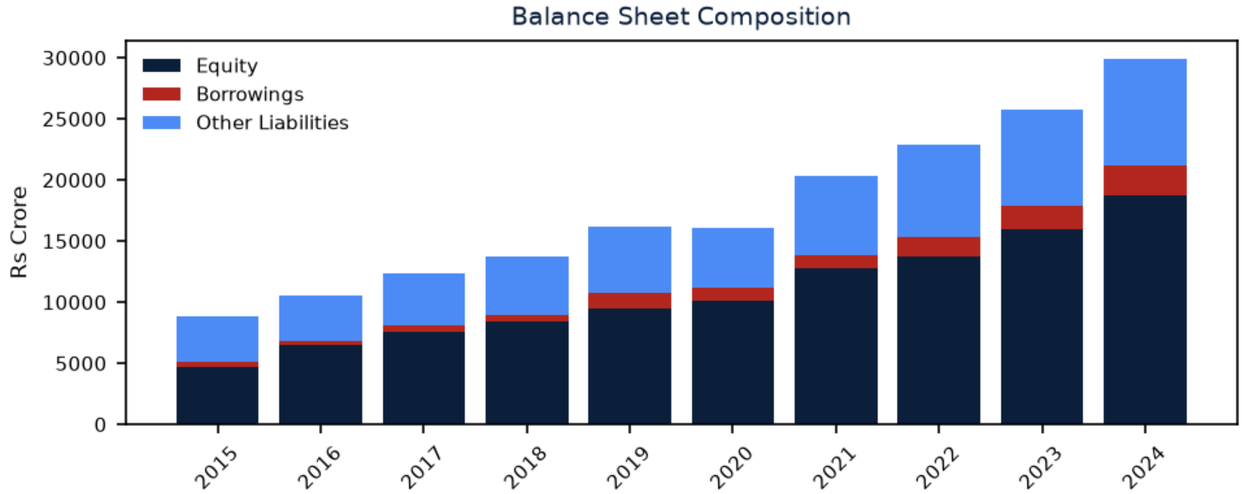
Asian Paints Indian Multi-National Paint and Coating Manufacturing Company

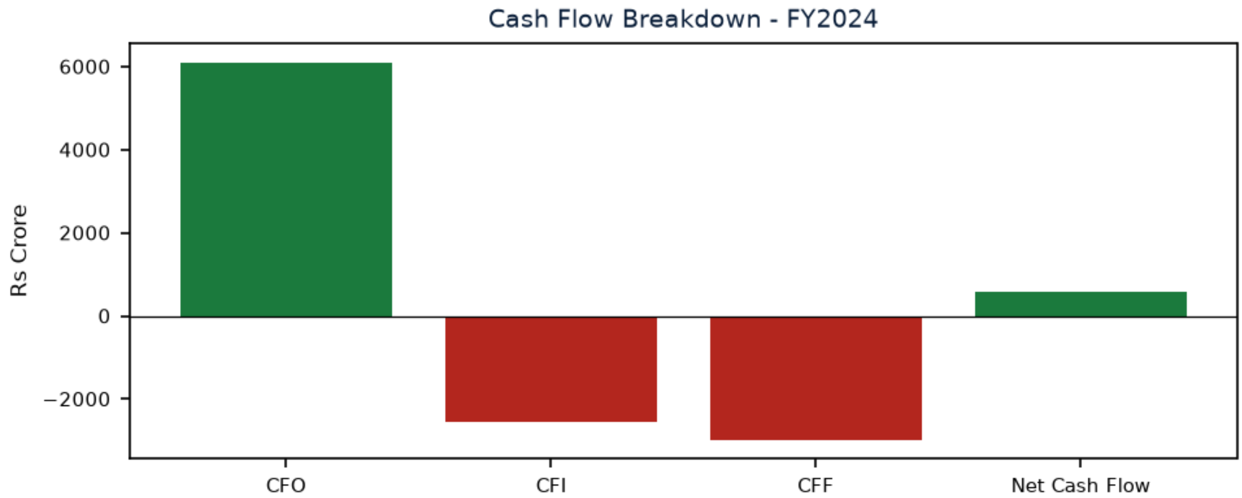
ASIANPAINT

29.7% ROE	**39.6%** ROCE	**0.1x** D/E
21.4% OPM	**13.0%** Revenue CAGR 5yr	**20.3%** PAT CAGR 5yr









Pros

+ Very high interest coverage ratio reflects negligible financial stress from debt servicing
+ Return on equity improving for 3 consecutive years shows strengthening business quality
+ Revenue growing slower than profits shows improving operating leverage and scale benefits
+ Strong free cash flow generation over 5 years signals healthy business fundamentals
+ Consistently high return on equity above 20% demonstrates exceptional capital efficiency
+ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

Cons

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

Capital Allocation Pattern

Reinvestor